Singapore: National Day Rally 2026 - Families, technology, land potential

24 August 2026

Chua Han Teng, CFA
Senior Economist
hantengchua@dbs.com

- *The National Day Rally 2026 outlined initiatives to sustain trust, relevance, and resilience amid global uncertainties.*
- *Enhanced family policies form a multi-pronged package providing broader parental support.*
- *Foreign manpower will complement the local workforce in a careful and controlled way.*
- *Artificial intelligence remains central to Singapore's national agenda.*
- *Major projects to unlock land potential would support long-term construction growth.*

Sustaining trust, relevance, and resilience

Prime Minister (PM) Lawrence Wong's National Day Rally (NDR) 2026 speech on August 23 outlined key initiatives to ensure that Singapore remains trusted, relevant, and resilient, amid an increasingly turbulent global landscape. Beyond reaffirming Singapore's commitment to building trust and deepening global linkages, including through its role as ASEAN chair in 2027 and continued engagement with global partners including the US, we highlight three themes from NDR 2026: family support and openness, technology, and long-term development plans.

Family support and remaining open

Family support, a key pillar of the government's Forward Singapore agenda, was a major highlight of NDR 2026, and had been well flagged in the run-up. We view the first set of recommendations from the Marriage & Parenthood Reset Workgroup, announced by PM Wong, **as a multi-pronged package, which marks a step towards providing sustained support for parents across a child's crucial developmental years.**

The combination of increased childcare leave, stronger and more sustained financial support through the new SG Child Support Package, more affordable and accessible caregiving options, as well as improved access to housing for growing families *(see table* and *National Population and Talent Division's announcement)* addresses the key concerns identified by Singaporeans in a YouGov Survey conducted in July 2026 *(see chart).*

Supporting Families

Policy Area	Key Measures
Childcare Leave	New streamlined childcare leave scheme for children aged 12 and below. Each working parent receives 8, 10, or 12 days annually depending on whether they have 1, 2, or 3+ children. Government to fully reimburse employers for all child-related leave schemes, up to the reimbursement cap.
SG Child Support Package	New package provides up to SGD62,000 per Singapore citizen child, regardless of birth order, comprising a SGD10,000 Baby Gift, SGD32,000 Child Credits over ages 1-16, SGD5,000 CDA First Step Grant, up to SGD5,000 CDA government co-matching, and a SGD10,000 PSEA top-up at age 17.
Support for Large Families	Additional assistance for families with three or more children, including studying enhanced support for healthcare, transport, and housing needs.
Affordable Preschool & Caregiving	Government-supported childcare and infant care fees to be reduced to SGD150 and SGD300 per month, respectively, by 2030. Full subsidies extended to all Singapore Citizen children regardless of parents' work status. Government-supported preschool operator network to be expanded.
Housing Support	From Feb 2027, first-timer families with or expecting children will receive one additional ballot chance per Singapore citizen child for BTO and SBF flat applications. BTO and EC income ceiling raised to SGD16,000 and SGD18,000, respectively.

Source: National Population and Talent Division, DBS compilation

These measures also built on earlier initiatives, such as parental leave enhancements, and support for large families announced during NDR 2024 and Budget 2025. While businesses may have concerns about operational challenges of expanded childcare leave provisions, they will have time to adjust given that implementations details are still forthcoming as feedback is being gathered on implementation. Businesses should view this as a strategic trade-off that supports the long-term sustainability of Singapore's demographic profile.

Even as Singapore aims to reverse its persistently declining fertility rate, which fell to a record low of 0.87 in 2025, PM Wong acknowledged that both the overall population and labour force will grow more slowly in the years ahead. To support economic growth, Singapore will continue to complement its Singaporean core by remaining open to foreign manpower in a "careful and controlled" manner. PM Wong signalled that a modest easing of foreign worker policies, particularly for the services sector, is unlikely. Looking ahead, PM Wong said that Singapore's future economic growth should instead be driven more by technology and productivity gains.

What could the Singapore Government do to make you more willing to have children (or more children)?	Percent
Lower the cost of preschool and childcare	35
Improve work-life balance through national policies	31
Increase cash incentives for having children	31
More housing support for couples and families	30
Increase parental leave entitlements	14
Increase tax reliefs or financial benefits for families	13
Reduce education-related costs for families	12
Increase childcare and infantcare availability	11
Improve affordability of healthcare for children	9
Provide more support for fertility treatments	5
Expand support for grandparents/caregivers	4
Nothing would make me more willing to have children	30

Source: YouGov

Technology: navigating advancements

Technology, particularly artificial intelligence (AI), was a key theme for the second consecutive NDR, underscoring its growing importance within Singapore's national agenda. Critically, PM Wong reiterated that Singapore would embrace rapid technological advancements "on our own terms", and provided a three-pronged approach to navigating the ongoing technological revolution: 1) seizing opportunities, 2) managing disruptions, and 3) putting safeguards in place.

Amid domestic labour and land constraints, we believe that harnessing technology and boosting productivity will be essential to sustaining healthy long-term economic growth, beside capital expansion through attracting foreign direct investments. PM Wong highlighted technological opportunities for small and medium-sized enterprises, as well as the healthcare, and transport sectors. At the same time, he highlighted that rapid technological changes could create unforeseen disruptions and downside risks. These extend beyond jobs and include challenges arising from social media and digital platforms, which Singapore will need to carefully manage through appropriate safeguards.

Future development plans despite land constraints

Multi-decade development planning remains a defining feature of the NDR, with PM Wong unveiling further details on how Singapore intends to unlock additional land potential, despite the constraints of a small island nation. These reflect Singapore's core ability of strategising for the long haul, supported by a forward-looking policy mindset and ongoing political stability.

The three broad development possibilities and opportunities outlined by PM Wong, centred on looking beyond Singapore's main island to outer islands, could help to sustain what we believe is a multi-year construction boom. Major initiatives include the creation of a new western industrial island, the rejuvenation of Sentosa and Pulau Brani, further reclamation at Pulau Tekong, and new transport links.

First, the merging of several southern islands into a new Western island would support both defence requirements and future industries, including advanced manufacturing and new power generation infrastructure, as Singapore aims to sustain its key industrial base, and strengthen long-term energy security.

Second, the upcoming rejuvenation of Sentosa and Pulau Brani, part of the transformation of the southern waterfront, aims to enhance leisure and tourism offerings for both residents and international visitors. Third, Pulau Tekong, Singapore's largest outlying island, will undergo further reclamation along its southern coast. After accounting for defence priorities, around 500 hectares (around the size of Toa Payoh town) would eventually be made available for civilian use. Lastly, PM Wong reaffirmed Long Island as part of Singapore's multi-decade development agenda, partly in tackling climate change challenges.

These plans are expected to be supported by increased transport connectivity, such as innovative solutions like undersea tunnels. **Taken together, the reclamation projects and resulting infrastructure pipeline would provide some long-term visibility for construction growth, given Singapore's strong track record of executing major development plans.**

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn Chew
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn Teo
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS

The Week Ahead

Forecasts, data preview, central bank watch

21st August 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- BOK and BSP are set to hike rates, while BOT stays on an extended pause.
- Singapore's core and headline inflation are expected to tick up.
- Hong Kong export growth to moderate.

Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com

Radhika Rao, Senior Economist
radhikarao@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Aug 25 (Tue)		
Hong Kong: exports (Jun)	41.6% y/y	53.4% y/y
- imports	43.0% y/y	45.4% y/y
- trade balance	-HKD 55bn	-HKD 52bn
Taiwan: Industrial production (Jul)	20.7% y/y	23% y/y
Aug 26 (Wed)		
Singapore: Industrial production (Jul)	9.0% y/y	7.2% y/y
Thailand: BOT Benchmark Interest Rate	1.00%	1.00%
US: GDP (second reading)	1.6% q/q saar	1.5% q/q saar
Aug 27 (Thu)		
Philippines: BSP overnight borrowing rate	5.00%	4.75%
South Korea: BOK base rate	3.00%	2.75%
Aug 28 (Fri)		
India: Industrial production (Jul)	5.2% y/y	7.3% y/y

CENTRAL BANK MEETINGS

Bank of Thailand (BOT) (26 August)

We expect the BOT to maintain its policy rate at 1.00% at its August meeting, extending the pause following June's unanimous decision. Economic growth remains uneven, with both private consumption and foreign tourism weak but stabilising, while goods exports and private investment remain strong. Headline inflation, although elevated, has eased for three consecutive months, falling to 1.9% yoy in July from rates near the upper end of the BOT's 1-3% target range, largely due to lower energy prices. Given the uneven pace of economic growth and headline inflation remaining within the central bank's target range, the BOT retains scope to keep monetary policy unchanged and accommodative in order to support the economic recovery and complement fiscal policy amid ongoing geopolitical uncertainties.

Bank of Korea (27 August)

We expect the Bank of Korea to raise the base rate by a further 25bps to 3.00% at this meeting, alongside an upgrade to its annual macroeconomic forecasts. There is significant room for the BOK to revise up its 2026 GDP growth forecast to around 3.5%, from the current 2.6%, given the stronger-than-expected 1H growth of 3.8% yoy. There is also room to revise up its 2027 CPI inflation forecast to close to 3.0%, from the current 2.3%. Although headline CPI moderated slightly to 2.8% yoy in July, from 3.2% in June, core CPI continued to edge up to 2.6% from 2.5%, while housing prices also increased further, to 2.7% from 2.6%. These developments should keep the BOK cautious about the risk of inflation remaining above its 2% target for an extended period.

A hawkish hold at this meeting cannot be ruled out, however. This view mainly reflects the recent tightening in financial market conditions, driven by strong KRW appreciation and heightened KOSPI volatility. The BOK could therefore keep rates unchanged at this meeting while signalling the possibility of a further hike at the October meeting.

Bangko Sentral ng Pilipinas (27 August)

We expect the BSP to raise the benchmark rate by 25bp to 5%. Recent communication from the Governor has been focused on inflation risks, despite readings coming off recent highs (but remains way higher than target) and 2Q growth slowing sharply. Officials would likely prefer to see a more convincing disinflationary trend before drawing a pause. The currency's drift to record lows alongside a renewed rise in Brent prices adds to the case for a pre-emptive tightening response, with the call strengthened further by the moderation in the foreign reserves position. Beyond a likely hike in August, our baseline forecast is for one more hike within the year before slipping into a prolonged pause. Policymakers will monitor signs of a potential shift in the US Fed's policy bias as well as US yield movements in the near-term.

FORTHCOMING DATA RELEASES

Hong Kong SAR

Exports growth is expected to moderate slightly from 53.4% yoy in June to 44.8% in July, largely reflecting base effects. The moderation is broadly in line with the easing in China's export growth, from 27.0% yoy in June to 23.9% in July. Nevertheless, trade momentum remains robust, supported by easing geopolitical disruptions following the Middle East ceasefire and strong demand for AI-related electronics. Import growth is also expected to remain firm, reflecting sustained demand for intermediate and capital goods amid resilient export orders and a gradual improvement in investment sentiment.

Singapore

We expect Singapore's headline and core inflation to rise to 2.4% yoy and 2.3% yoy, respectively, in July, from 1.9% yoy and 1.6% yoy in June. The pickup was due to the delayed pass-through of higher global energy costs reflected in the sharp 17% increase in electricity tariffs in 3Q26, alongside firmer food price increases. This build-up in underlying price pressures likely validated the central bank's decision to very slightly increase the appreciation pace of its currency policy band at its July review. Policymakers will likely maintain their vigilance and a slight hawkish stance toward upside inflation risks in their commentary on the inflation outlook, given the ongoing disruptions and conflict in the Middle East.

We forecast industrial production growth to rise to 9.0% yoy in July, from 7.2% yoy in June. This was driven primarily by robust expansion in the electronics and precision engineering clusters, both of which continued to be underpinned by strong global demand for artificial intelligence-related hardware. However, factory performance remained uneven, as rising cost pressures and supply chain disruptions in the Strait of Hormuz continue to weigh on chemicals and general manufacturing clusters.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	5.75	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS Focus

India – North Asia: Emerging corridor

21 August 2026

Radhika Rao, Senior Economist
radhikarao@dbs.com

- *We are constructive on India's prospects to attract trade diversion flows.*
- *There has been a shift to strengthen trade ties beyond the usual strongholds.*
- *Deeper ties with North Asia will mark a shift towards technology-focused integration.*
- *Trade with the North Asian region is led by linkages with China, and Japan. Taiwan carries the most potential.*
- *An investment pivot will also help address the prevailing lopsided dependencies with the bloc.*
- *To backstop these ambitions, India has expanded the suite of initiatives to draw in more investments.*

STRENGTHENING TIES

Over the past year, India has jumpstarted efforts to strengthen trade and investment ties with various global partners, including Europe, Asia Pacific, and West Asia, with more discussions in the pipeline. Conclusion of key bilateral free trade agreements (FTA) will help broaden economic linkages, beyond the traditional focus on its largest export destinations.

This pivot reflects a structural transition from protectionism toward deep integration into global supply chains. Beyond the immediate dismantling of prohibitive import duties, the overarching benefits of these finalised pacts lie in their ability to stimulate massive investments, deeply integrate Indian MSMEs into global value chains, and safeguard sensitive domestic industries through calibrated exclusion quotas.

COUNTING ON POTENTIAL

The India–North Asia trade corridor sits at the intersection of manufacturing, technology, and geopolitical realignment. Although global trade faces greater fragmentation, production networks across Asia remain deeply interconnected. **North Asia** (representing eight countries, including China, Hong Kong SAR, Taiwan, and Japan) remains the region's manufacturing and technology hub, with India assuming a larger role in final assembly, domestic demand, and investment.

India-North Asia partners

Source: ChatGPT AI-generated map, DBS

Stronger trade and investment linkages with India will create new opportunities across sectors, including manufacturing-heavy electronics, machinery, automobiles, and critical minerals. Notably, India's import intensity for intermediate inputs for strategic industries, such as electronics (second biggest import item), semiconductors, electric vehicles, and rare earth industries is relatively high. For instance, 90-95% of inputs for the semiconductor industry are currently met through imports[1], while others range from 50%-90%.

In line of these dependencies, **India has moved to introduce institutional reforms, aggressive physical infrastructure builds, and targeted industrial incentives, which is likely to help to alter the calculus.** The country plans to build the semiconductor value chain worth $120-150bn within the coming decade.

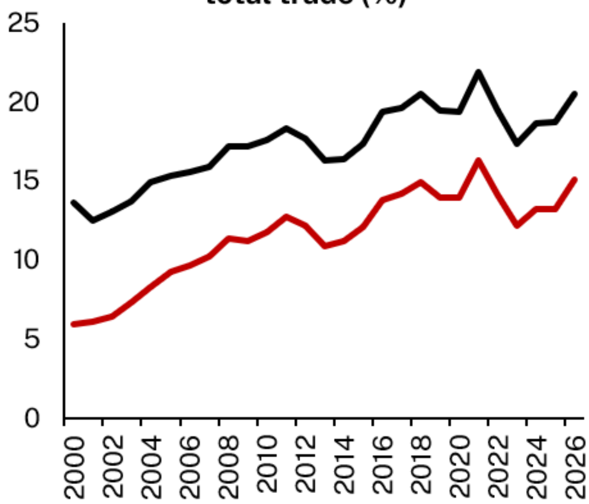
TRADE AND INVESTMENT DYNAMICS

India's trade with the North Asian region is led by linkages with China, Hong Kong, Japan, and South Korea. Taiwan carries most potential.

North Asia's importance in India's trade profile has risen, with its share of total trade increasing from 12-13% in the early 2000 at $11.8bn to around 20% in FY2025-26 at $249bn. That share has been largely steady over the past decade.

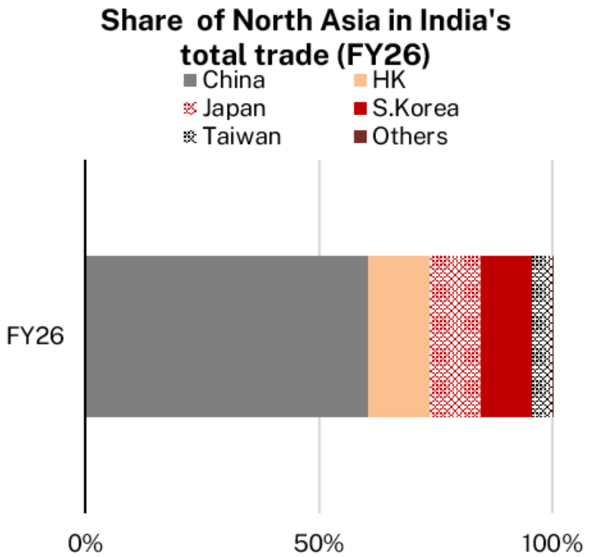
China and Hong Kong dominate the region's trade linkages with India, accounting for roughly three-quarters of North Asia-related trade in FY2025-26, of which China alone represented about 60%, followed by Japan at around 11%. **India has entered trade pacts with Japan and South Korea,** not the rest**. Japan has the biggest share of FDI into India in this group.**

Share of North Asia in India's total trade (%)



Source: CEIC, DBS

[1] Niti Aayog



Source: CEIC, DBS

Source: CEIC, DBS

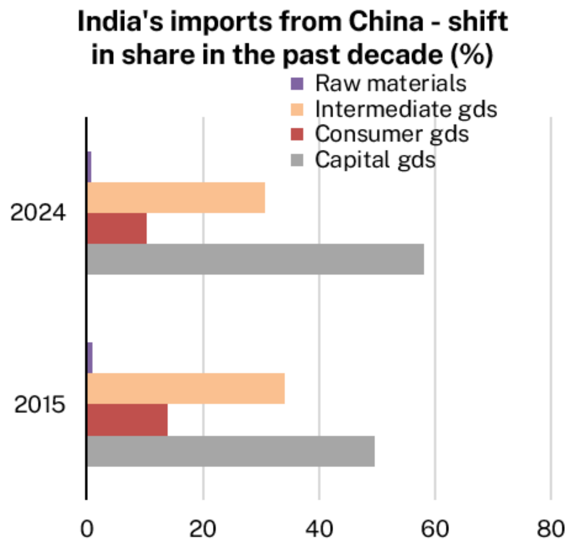
CHINA AND HONG KONG

India's bilateral trade with China has surpassed that with the US in the past year. Even as this scale of bilateral trade is dwarfed by the China-ASEAN-6 corridor, strong linkage with India stem from structural drivers, and are influenced by geopolitical developments.

Bilateral trade between India and China grew by 18% CAGR between FY2000 at $1.8bn and FY2026 at $151bn, rising faster than India's overall trade of 10% CAGR in the same period. This dynamic was driven by import growth outpacing export growth, reflecting the country's broader manufacturing expansion and gradual push towards import substitution.

China and Hong Kong cumulatively accounted for about 20% of India's imports, and around 6% of exports. The trade imbalance has, as a result, widened sharply in this period (see chart).

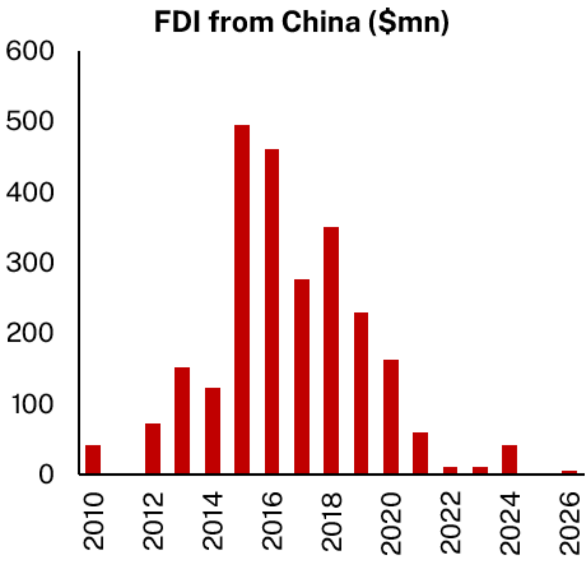
By product-group, capital and intermediate goods cumulatively make up 88% of the total imports from China, up from 84% a decade ago, while India's exports to China are dominated by raw materials, followed by intermediate goods more recently.



Source: World Bank, DBS

In FY26, India's imports from China were dominated by "Electrical machinery and equipment" referring to telecom gear, semiconductor devices, integrated circuits, electrical components, and consumer electronics, followed by nuclear reactors and boilers, with these two making up more than half of purchases. Inputs for the pharma and renewable sectors are also crucial through this pipeline.

Inbound FDI from China had slowed down sharply since a ratcheting up of border clashes and geopolitical tensions. India imposed strict restrictions in 2020 requiring prior government clearance for any FDI originating from or having beneficial ownership in countries sharing a land border with India. In the same period, outbound FDI from China into ASEAN countries rose at a much faster than into the sub-continent.



Source:DIPP, CEIC, DBS

Outlook

- In an earlier edition of the annual Economic Survey, India's Chief Economic Advisor's office had highlighted that one of the ways for India to boost manufacturing and plug itself into the global supply chain was to be a part of China's supply chain, via maintaining imports and partially through Chinese investments.

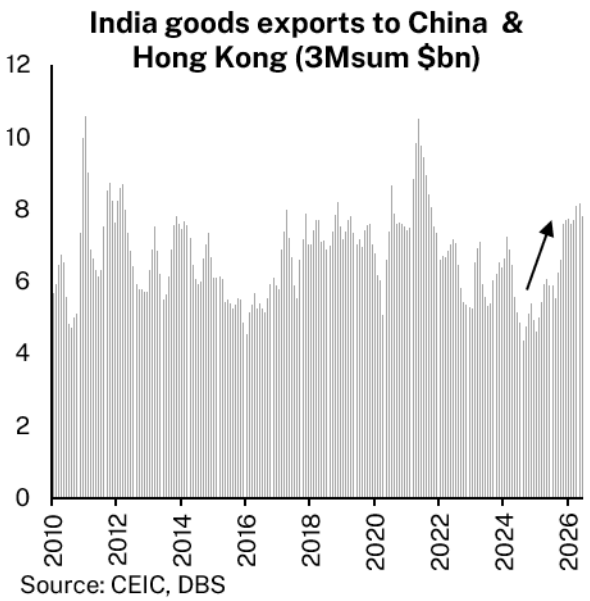
- **Bilateral relations are in the midst of a transition phase, marked by two key developments.**

  A start to easing limitations in the Press Note 3 regulation. In March 2026, the government revised few provisions, marking a step towards a calibrated approach towards investor entities with non-controlling beneficial ownership of up to 10%. Such entities are being permitted through the automatic route, without requiring prior government approval, while being subject to sectoral caps, entry routes and regulatory conditions, by way of safeguards.

  Taking the wide trade deficit with China into context, a move to gradually open the door to investments is intended to encourage local production, improve export capacity, lower structural dependence, and boost technology sharing. Players from sectors like electronics, automobiles, renewable energy, and consumer durables, are likely to be the initial sectoral players keen to expand presence in India, as and when limits are eased.

  Taking cues from the inflows into the ASEAN-6 market, **FDI could potentially grow by 3-5% CAGR, keeping pace with the ASEAN pace, while scale catches up with the momentum.**

- **Revival in India's exports to China and Hong Kong in FY26 and into early FY27.** Over the past decade and a half, India's exports to China have followed a cyclical path, rising and falling in line with shifts in global commodity demand, relative competitiveness, and China's evolving economic structure. For instance, exports had surged in 2010-11 on the back of high global demand and surging Chinese industrial consumption of raw materials like iron ore and copper, alongside a massive spike in Indian raw cotton exports.



Source: CEIC, DBS

In FY26, "electrical machinery" and electronics dominate India's exports (~16% share), comprising of partially processed electronics, specific telecom components, and electrical machinery parts, followed by mineral fuels (13%) and ores (9%). Seafood and organic chemicals are the next two important sectors.

Demand for commodities are tied closely to industrial growth and domestic construction activity, subjecting nominal exports to volatility. Moving up the value chain for exports will lend more resilience going forward.

To improve exports to China and Hong Kong, India has also sought better market access and lower regulatory hurdles for key sectors like pharma, agriculture, and IT services, including fewer non-tariff barriers. A conservative ~4% CAGR increase in India's exports to China (and HK) from now to 2030 to $33bn and further $40bn, helping to contain further slippage in the bilateral trade deficit.

A dual-pronged approach of improving market access to increase the scale of exports to China to better balance the trade deficit, and warming up to inward FDI from China will allow for deeper technology integration and in-housing of production capabilities. **Progress on FDI is likely to be gradual and with guardrails, but one that carries with potential.**

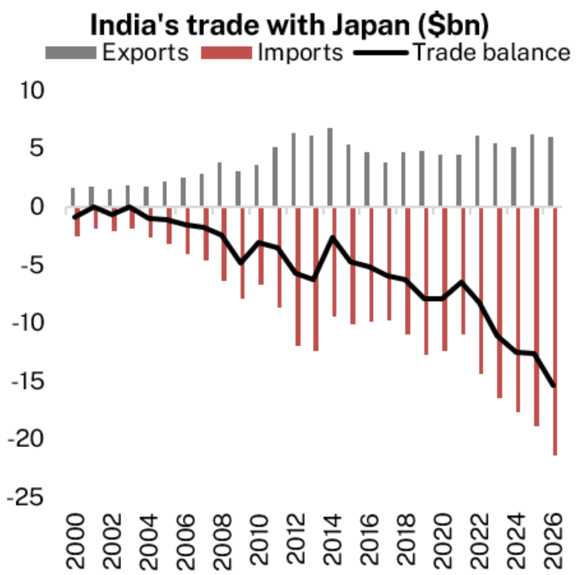
JAPAN

India and Japan share a deep and enduring economic partnership, underpinned by strong trade ties, and significant investment flows. Over the past two decades, Japan has emerged as one of India's most important development and investment partners, supporting the country's infrastructure modernisation, manufacturing growth, and technological advancement. These relations are anchored by the Comprehensive Economic Partnership

Agreement (CEPA), which was formalised in 2011.

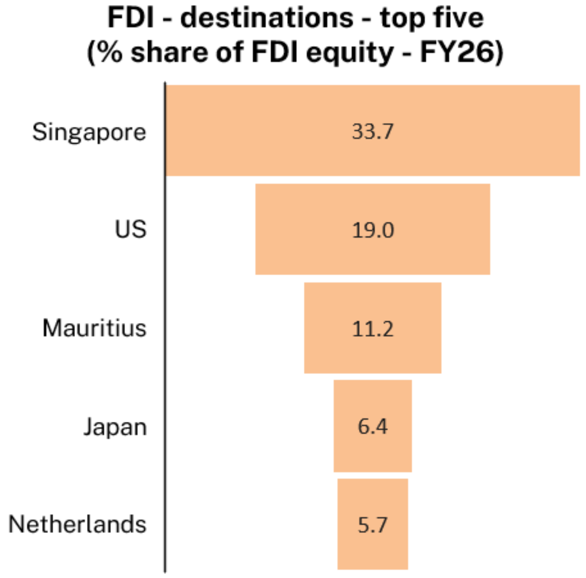
Japan ranked ~10th in India's total trade (~2.3% share) in FY26, and India is 14th in Japan's total trade (<2%)[2]. While India has stepped up exports, imports have risen by a faster CAGR of 8% since 2000, outpacing exports at ~5%. The bilateral trade deficit has, thereby, widened by five times to -$15bn in FY26 vs 2010 levels, making the trade linkage lop-sided.

Primary imports from Japan are nuclear reactors, copper and articles thereof, electrical machinery and equipment, inorganic chemicals, and iron and steel, while exports to Japan comprise of organic chemicals, vehicles, nuclear reactors, copper, etc.



Source: CEIC, DBS

On the FDI front, between 2000 to March 2026, investments into India have totalled $48bn, with the country ranking as the fifth largest investor in FY26 (see chart). This inward FDI has been concentrated in automobiles, electrical equipment, telecom, chemical, financial, and pharmaceutical sectors.



Source: DPIIT, DBS

Outlook

India and Japan have built a strong and resilient partnership that extends beyond trade and investment to encompass strategic, technological, and diplomatic cooperation. Japanese investment has been instrumental in supporting India's infrastructure and manufacturing ambitions, while growing economic complementarities continue to create opportunities for deeper commercial engagement.

India has also sought to tighten trade and security ties with allies, to cement its strategic autonomy amid geopolitical tensions. **Japan PM Takaichi visited India in July 2026 for the 16th Annual Summit**, emphasising supply chain resilience, investment, joint

[2] India Embassy in Tokyo

infrastructure projects, energy security, and artificial intelligence (AI), while unveiling a joint defence manufacturing project. More recently, Japan's banks have also made equity investments in domestic non-bank financial institutions to tap into the deep and matured local rupee market.

India will seek to make the bilateral trade balance less lopsided by increasing exports of raw materials, organic chemicals, etc. On the investment front, Japan had committed to take total investments to ~$65-70bn over the coming decade, with cooperation in semiconductors, critical minerals, batteries, robotics, shipbuilding, clean energy, AI, and digital technologies; all these are crucial from India's standpoint to backstop its manufacturing and technology capabilities.

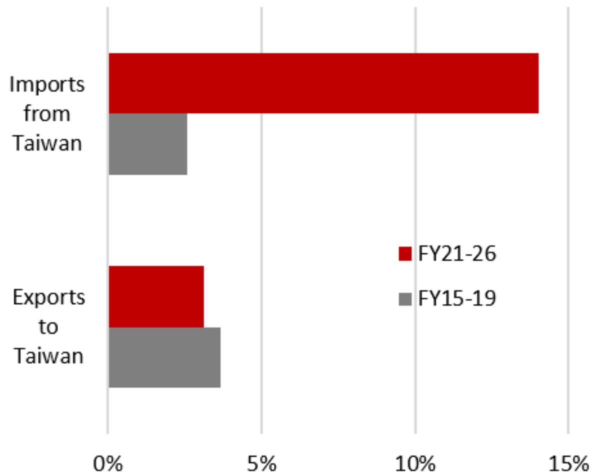
TAIWAN – ROOM TO GROW

India-Taiwan economic relations have expected to move from being a purely trade-centric engagement to one that is shaped by shared interests in supply-chain resilience, advanced manufacturing, and technology-driven growth. Taiwan's government had launched the New Southbound Policy in 2016, aiming to deepen trade, technological cooperation, cultural exchange, and talent sharing with 18 target nations - ASEAN, six South Asian countries (including India), Australia, and New Zealand.

The scale of India-Taiwan total trade is modest (~1% of India's total trade in FY26) relative to Taiwan's other partners, but the relationship has acquired growing importance through investment linkages.

India is Taiwan's 15th largest trading partner, and 11th largest export destination. Bilateral trade reached US$11-12bn in FY25-FY26. Total trade grew by 11% CAGR between FY21-26, outpacing the pre-pandemic pace of 3%. This was largely driven by a sharp increase in imports from Taiwan (CAGR 14% vs 2.6% prior), while exports grew at steady 3% in both these periods. Faster growth in imports from Taiwan widened the bilateral trade deficit from an average of $1.7bn in FY15-19 to $7.6bn in FY25-26.

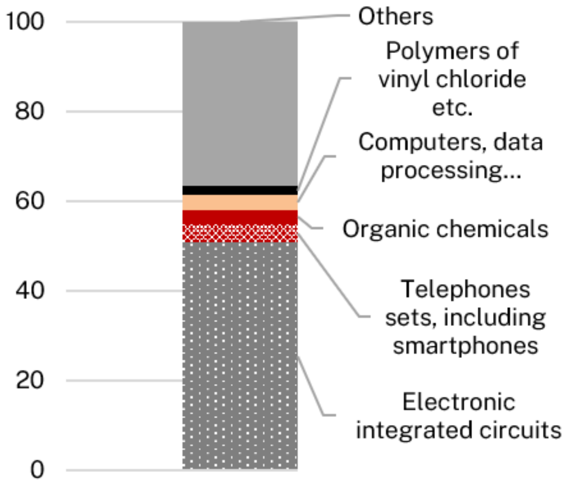
India trade with Taiwan
Growth rate CAGR %



Source: CEIC, DBS

The product-wise breakdown highlights the importance of intermediate product demand from India, by way of electronic integrated units, hardware/ equipment, and organic chemicals, which are largely driven by the strong push towards mobile manufacturing as well as semiconductor ambitions. Exports to Taiwan have consisted of smartphone/telephone sets (26% share in 2025), and mineral fuels/ ferroalloys/ lead/ aluminium (~18% share).

India's key imports from Taiwan; 2025 (% share)



Source: Govt agencies, DBS

Direct FDI into India from Taiwan has a modest share of less than 0.5% as of FY26, although there are clear indications of a pickup in interest. Official data suggests that almost 200 investment commitments [3] have been made by Taiwan companies, amounting to $1.7bn.

Notably, direct flows from Taiwan are not fully reflective of the true extent of its investment interests into India. Few of these have also been made via their subsidiaries in other countries. Case in point was Taiwan's firm Hon Hai Precision Industry Co., which through its subsidiary Foxconn Singapore, acquired $37.2mn worth common shares in its Indian unit through a fresh share subscription [4] in June 2026. With this infusion, Foxconn Singapore almost entirely owns the Indian entity, with cumulative value of Foxconn Singapore's investment at $2.8bn. Group company Yuzhan Technology India also plans to invest ~$1.5bn into expanding its smartphone manufacturing unit in India.

Key investments in India

Company Name	Sector
Foxconn (Hon Hai Precision Industry)	Electronics & Mobile Manufacturing
PSMC (Powerchip Semiconductor)	Semiconductors
Pegatron (Tata India have controlling stake) & Wistron (India's Tata acquired IPhone assembly business and co. shifted focus to IT hardware etc.)	
Delta Electronics	Power Electronics & Automation
China Steel Corp & CSRC	Heavy Industry & Materials
Century Development Corporation (CDC)	Integrated industrial township

Source: Press articles, DBS

On an aggregate basis, key interest areas for investments include smartphones, electronics, auto parts, textiles, and machinery, underscoring a shift from transactional trade towards longer-term industrial collaboration. Apart from expanding the presence of electronic clusters, Taiwan is undertaking industrial parks in India. For

[3] International trade administration

[4] Fortune India

instance, the Technology and Innovation International Park (TIIP) project of Century Development Corporation, and the Indo-Taiwan Industrial Park are being developed in Gujarat.

Outlook

As India seeks to attract high-value manufacturing, and Taiwan looks to diversify its investment footprint, trade and investment flows are becoming more closely linked, particularly in sectors such as semiconductors, electronics, digital infrastructure, and engineering services.

India plans to move beyond assembly to domestic manufacturing of critical components and essential raw materials. While this could widen the trade imbalances in the near term, build up in the local ecosystem will help produce domestic alternatives and indigenous inputs in the medium-term. Drawing comparisons with the pace of inflows into the ASEAN-6 region, the scale of inflows from Taiwan (and indirect flows from other jurisdictions) can amount to $4-$5bn in the medium-term.

CONCLUSION

Ongoing strong efforts will allow the country to move up the value chain, evolving from a purely consumption market into a production as well as assembly hub, thereafter, capture a bigger pie of value-added activities, while becoming more integrated into the industrial ecosystem in North Asia.

To backstop these ambitions, India has also expanded the suite of initiatives to draw in more investments. **The India Semiconductor Mission (ISM) 2.0** has been launched with an expanded INR1.3trn outlays in 2026. This builds on ISM 1.0 by shifting focus from basic fabrication setup to full-stack ecosystem consolidation, local equipment and material production, indigenous intellectual property (IP), and advanced skills training. This will support the country's plans to boost the size of the domestic electronics and chips market to $100-110bn by 2030, by also lowering import reliance and secure long-term sovereignty.

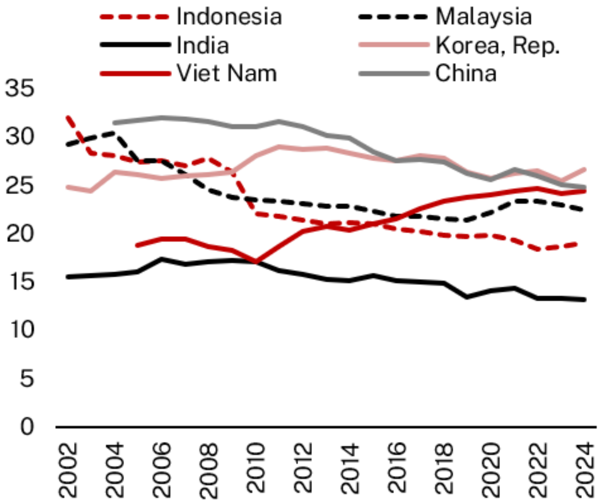
Separately, the Electronic Component Manufacturing Scheme (ECMS) had also been launched (budget of INR 229bn) to build a strong local supply chain for electronic parts, attract investments, and make India a global manufacturing hub over the next six years. Under this umbrella, cumulatively over 106 applications [5] have been approved to date covering 30 products, totalling INR 695bn ($7.3bn). Of these projects, 38 have already started production and 16 are in advanced stages of construction/ machinery installation.

Notably, India's current position in the electronics and semiconductor manufacturing bears resemblance to early stages of the process in Vietnam

[5] PIB India

and South Korea, and to some extent Taiwan as well. These countries initially emerged as assembly and contract manufacturing and thereafter moved up to higher value-added activities like chip design, semiconductor fabrication, and specialised components. This is expected to help lift India's manufacturing value added matrix vs regional peers.

Manufacturing value added (as % of GDP)



Source: World Bank, DBS

The rising role of North Asian trade and investment partners for India are likely to be shaped by supply chain integration, technology support, and creation of the ecosystem, as part of the larger industrial and manufacturing push.

An investment pivot will help address the prevailing lopsided dependencies with the bloc. Assuming the FDI CAGR stands at ~4.5-5% over the coming decade, the share of total FDI from North Asia into India could nearly double vs FY26.

Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng Chua, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn Chew
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn Teo
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

Thailand Chartbook: Middle East shock tests economy

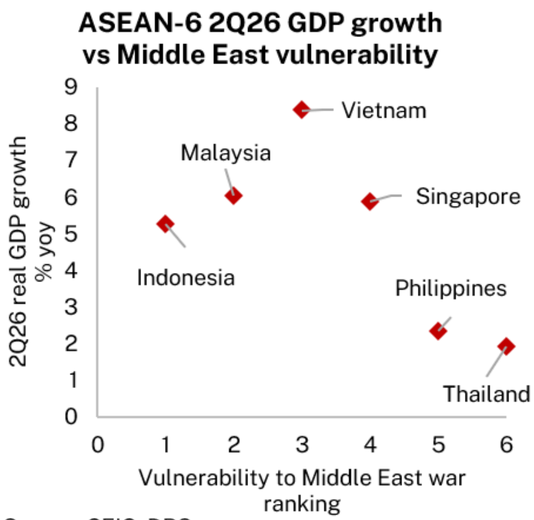
18 August 2026

Chua Han Teng, CFA
Senior Economist
hantengchua@dbs.com

Violet Lee +65 68785281
Please direct distribution queries to
violetleeyh@dbs.com

- *Thai real GDP growth slowed to 1.9% yoy in 2Q26 from 2.8% yoy in 1Q26 due to headwinds from the Middle East shock.*
- *Private consumption would receive a temporary boost from government stimulus, after easing to its weakest pace since end-2021.*
- *Foreign tourism is soft despite July's rebound, with a sustained recovery dependent on the year-end seasonal demand.*
- *Goods exports and private investment continue to stand out as bright spots.*
- *External buffers are strong despite downward pressures.*
- *We continue to expect the BOT to keep its policy rate stable at 1.00% through the remainder of 2026.*
- ***Forecast implications:** We raise our 2026 GDP growth forecast to 2.1% (from 1.6%), and revise our 2026 headline inflation forecast to 1.7% (from 2.5%). These reflect the less severe-than-expected impact of the Middle East conflict and policy support amid ongoing challenges.*

Source: CEIC, DBS

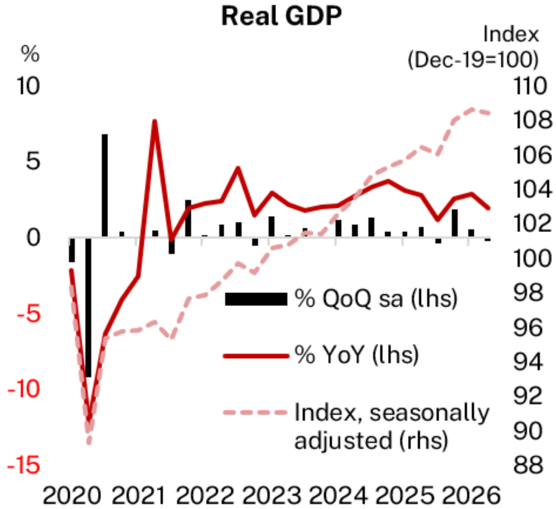


Source: CEIC, DBS

REAL GDP GROWTH

GDP growth slowed to 1.9% yoy in 2Q26 from a strong 2.8% yoy in 1Q, bringing 1H26 growth to 2.4% yoy. We raise our 2026 growth forecast to 2.1%, due to a less severe-than-expected Middle East shock and policy support.

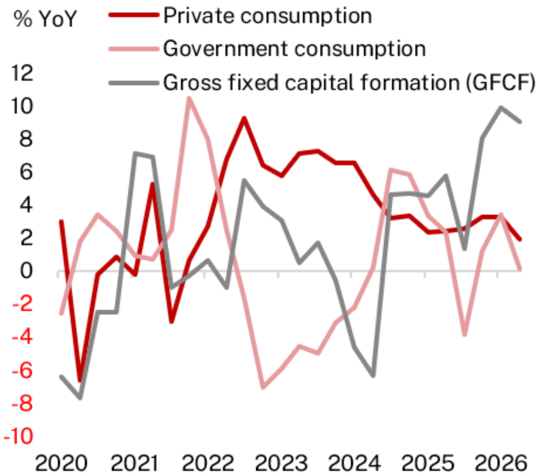
Real GDP



Source: CEIC, DBS

Overall economic weakness in 2Q26 was driven by slower private and government consumption growth, despite strong investment expansion. Private consumption growth eased to its lowest rate since the end of 2021.

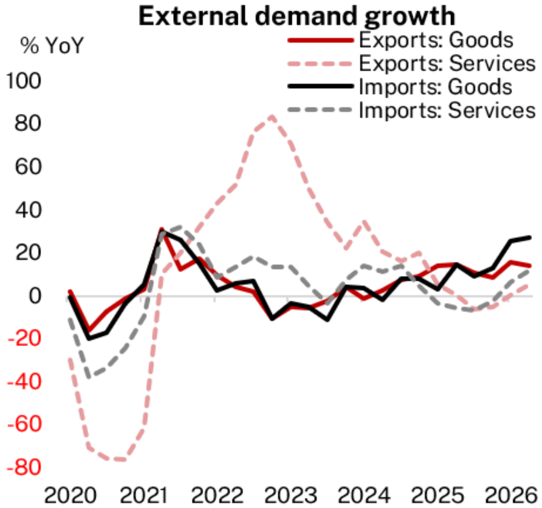
Domestic demand growth



Source: CEIC, DBS

Goods exports remained strong in 2Q26, supported by electronics shipments, but net trade contributed negatively to GDP due to robust imports, a trend that could persist in the near term.

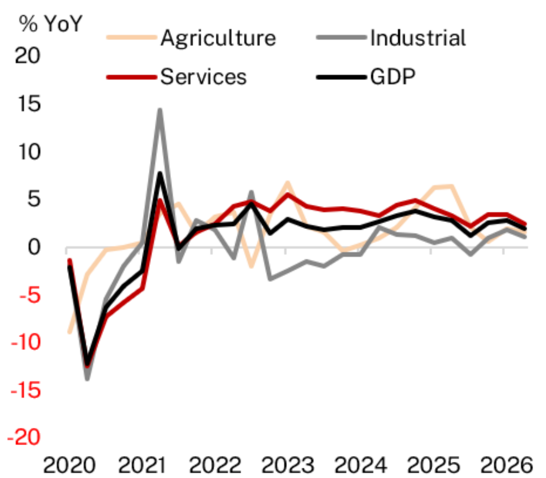
External demand growth



Source: CEIC, DBS

Growth momentum moderated across the agriculture, industrial, and services sectors in 2Q26. The slowdown in services was the most pronounced, reflecting weaker tourism-related and wholesale & retail trade activities.

Real GDP growth by sector

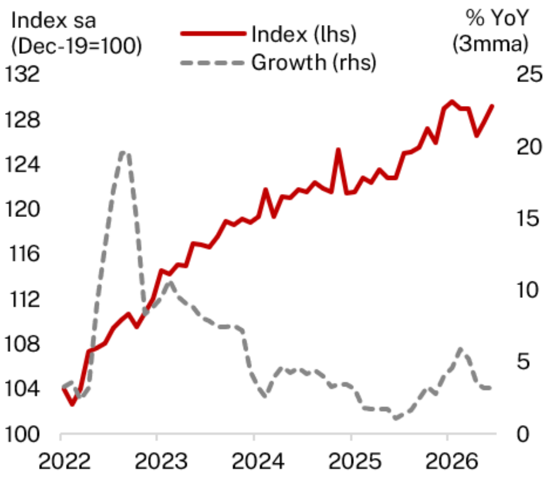


Source: CEIC, DBS

PRIVATE CONSUMPTION AND TOURISM

Private consumption, while facing challenges from the high cost of living and weaker consumer confidence stemming from the conflict in the Middle East, could be supported by government stimulus introduced from June 2026.

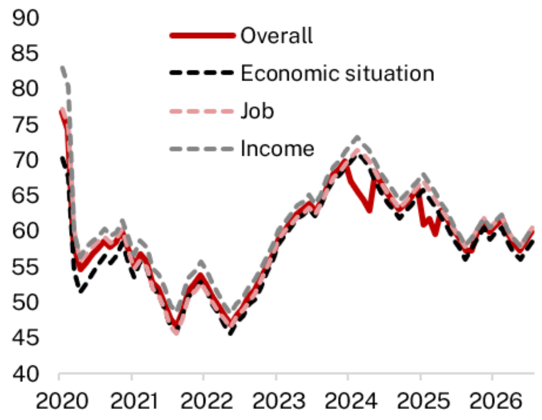
Private consumption



Source: CEIC, DBS

Consumer confidence has reached a cyclical trough in June 2026, supported by the government's THB175bn co-payment scheme, after declining since March, due to higher energy prices and uncertainty from the Middle East.

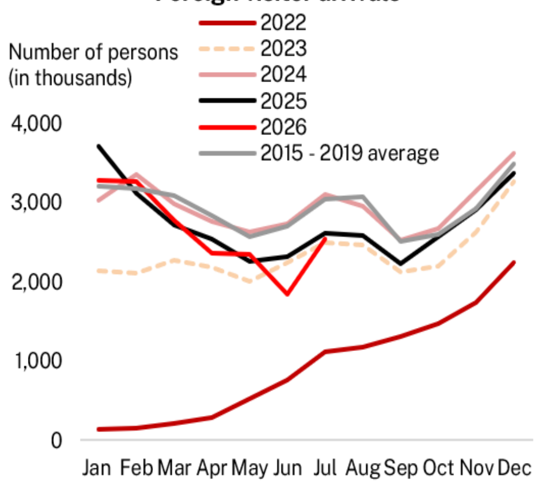
Consumer confidence index: future



Source: CEIC, DBS. Note: dotted lines refer to sub-indices

Foreign tourism trended lower in 1H26 due to higher jet fuel prices and softer demand. While visitor arrivals rebounded in July, sustained momentum into the year-end peak season will be key to support the recovery.

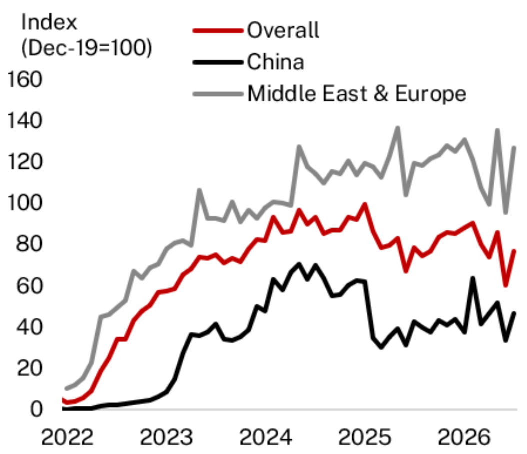
Foreign visitor arrivals



Source: CEIC, DBS

Despite geopolitical disruptions, long-haul arrivals from the Middle East and Europe remained resilient and have rebounded. However, visitors from China continued to be weak, holding back the overall tourism recovery.

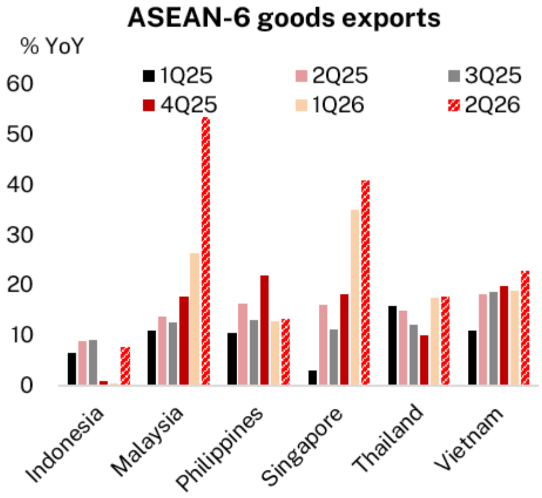
Foreign visitor arrivals



Source: CEIC, DBS
Note: Comparison vs same month in 2019.

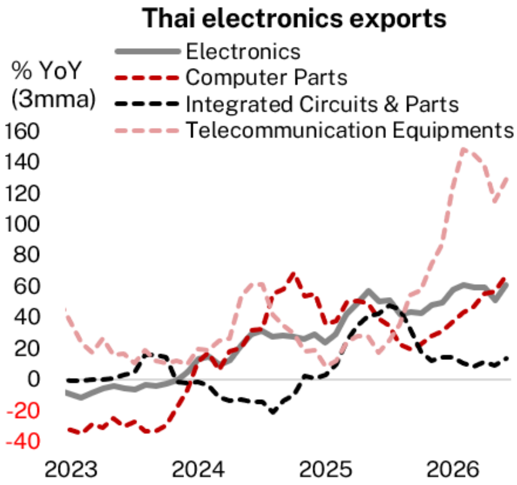
GOODS EXPORTS

Thailand's goods exports remain in solid shape and are providing strong support to the economy in 2026, although growth has been slower than in some regional peers, reflecting the extent of exposures to artificial intelligence (AI) demand.



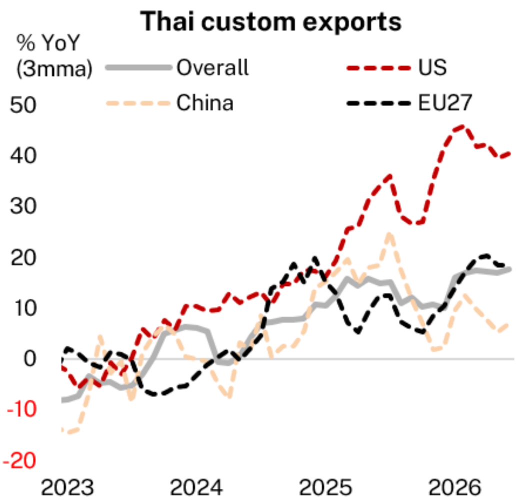
Source: CEIC, DBS. Note: % YoY in USD terms.

Global AI tailwinds have lifted electronics exports across the region. Thai telecommunications equipment exports have been a key beneficiary, and will continue to benefit from strong investment by hyperscalers.



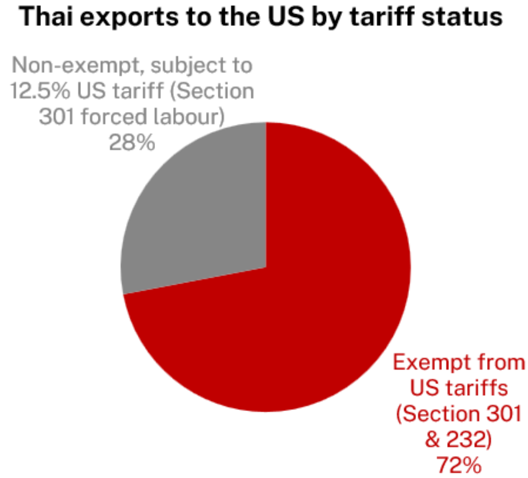
Source: CEIC, DBS
Note: dotted lines are selected sub-components

Thailand's strong exports performance has been notably supported by shipments to the US, despite America's increased protectionist stance.



Source: CEIC, DBS

The direct impact of US tariffs on Thai goods exports to the US has been manageable thanks to significant exemptions. ~28% of Thai exports to the US will be subject to 12.5% US tariffs related to forced labour violations.



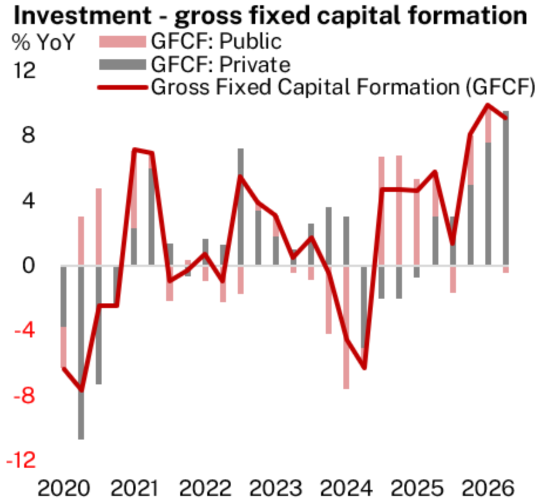
Source: Nation Thailand, DBS

INVESTMENT

Thailand's investment upcycle remained intact in 2Q26, with growth sustaining strong momentum at close to its highest rate since 1Q15. Private investment continued to be the primary driver.

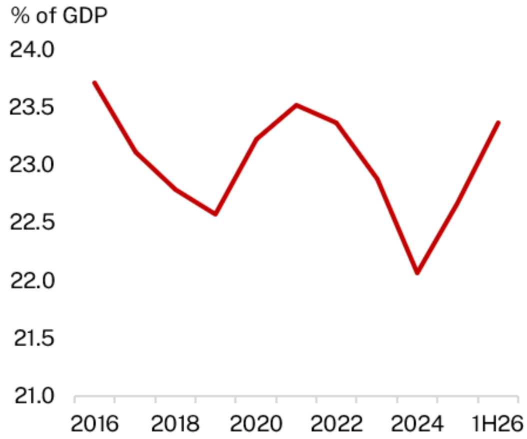
The private investment upswing has lifted total investment as a share of GDP to its highest rate since 2022. The government aims to sustain the uptrend, although it remains to be seen if the 30% of GDP ambition can be achieved.

Investment - gross fixed capital formation



Source: CEIC, DBS

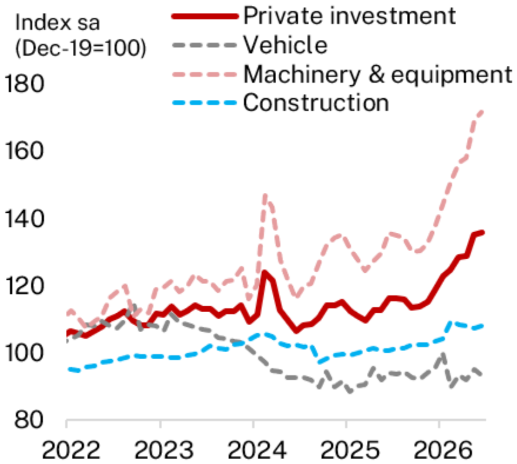
Investment - gross fixed capital formation



Source: CEIC, DBS

Private investment in 2026 has been driven by strong momentum in machinery and equipment spending, reflecting the realisation of investment applications and approvals, particularly those led by foreign investors.

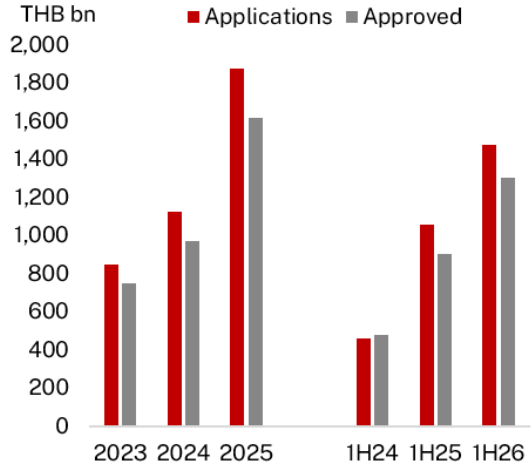
Private investment



Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

Investment applications and approvals accelerated in 1H26, pointing to a robust investment execution pipeline. These were supported by large digital infrastructure projects.

Investment applications and approval

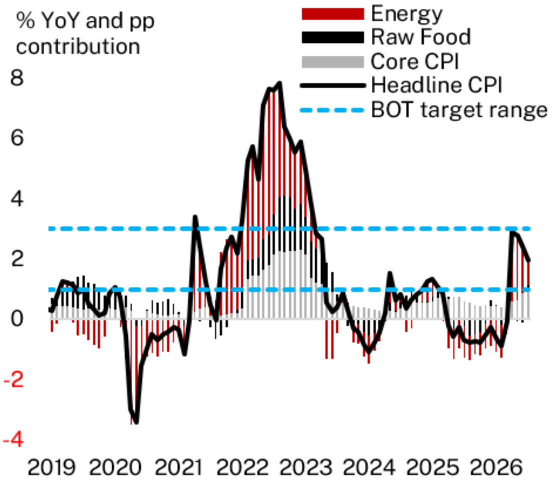


Source: Thailand Board of Investment, DBS

INFLATION AND MONETARY POLICY

Headline inflation remains within the central bank's 1-3% target range despite the jump in April 2026, and has moderated since then. We revise our 2026 forecast to 1.7%, given the less severe impact than anticipated.

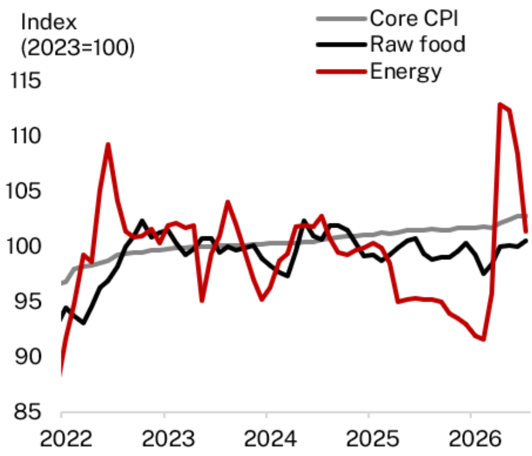
Headline inflation breakdown



Source: CEIC, DBS

Fluctuations in headline CPI have mainly been driven by energy price volatility amid evolving tensions in the Middle East. Core and food inflation rates have risen but still look contained.

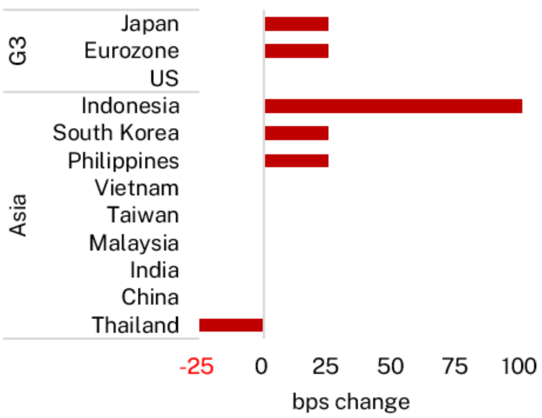
CPI breakdown



Source: CEIC, DBS

The Bank of Thailand (BOT) was the only central bank to cut its policy rate during the first seven months of 2026, seeking to support uneven economic growth, while looking through the temporary supply-driven inflation shock.

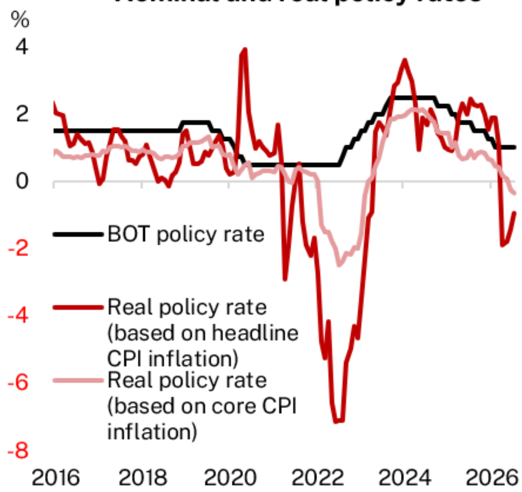
Policy interest rate changes in 7M26



Source: CEIC, DBS

We think the BOT will have little urgency to adjust policy in the near term. The Midde East shock is weighing on growth and lifting inflation. The BOT will aim to support growth, as it expects inflation to ease alongside energy prices.

Nominal and real policy rates

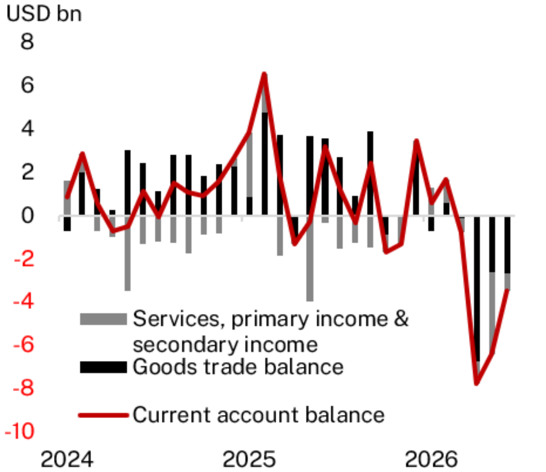


Source: CEIC, DBS

EXTERNAL POSITION

Thailand's current account has been in deficit since March 2026. Imports surged due to higher energy prices stemming from the war in the Middle East, alongside strong investment. These trends would persist in the near term.

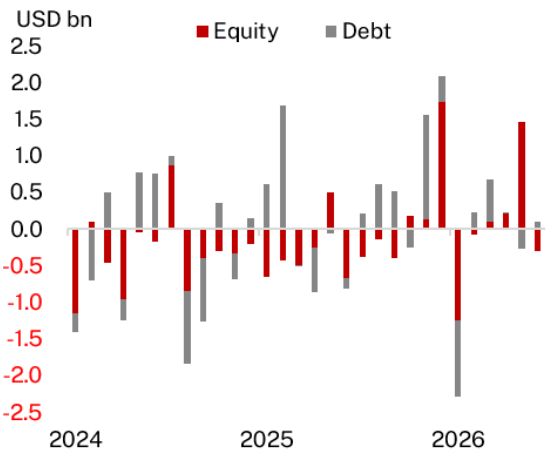
Current account breakdown by month



Source: CEIC, DBS

Portfolio flows have been supportive, despite increased volatility in 2026. Both equity and debt flows have benefitted from improved domestic politics, and less severe impact of the Middle East conflict, notwithstanding challenges.

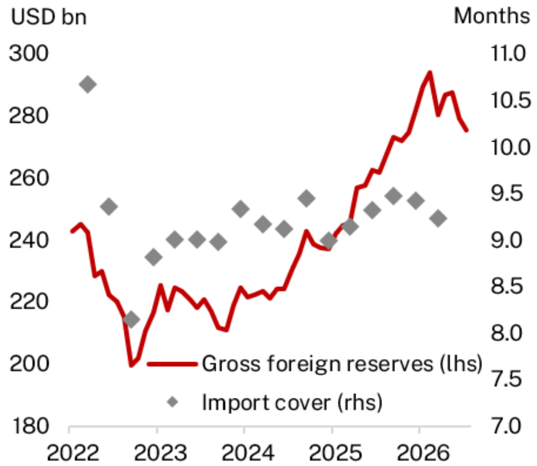
Monthly portfolio flows



Source: IIF, Bloomberg, DBS
Note: Latest data as of mid-August 2026.

External buffers remain strong, with foreign reserves sufficient to cover around nine months of imports. This resilience is despite the recent surge in imports and pullback in international reserves.

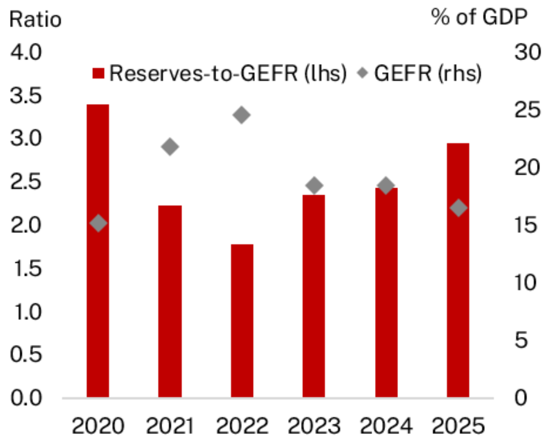
Gross foreign reserves and import cover



Source: CEIC, DBS

The ratio of foreign reserves to gross external financing requirements should remain comfortable, although it will fall due to rising current account pressures. This could resemble the experience in 2022 when oil prices spiked.

Reserves and external financing needs



Source: CEIC, World Bank, IMF, DBS

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan CHUI
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS

The Week Ahead

Forecasts, data preview, central bank watch

14 August 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- *BI and PBOC to hold.*
- *A string of July trade data to show sustained external demand.*
- *Japan 2Q GDP and CPI print should support BoJ tightening.*

Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com

Chua Han Teng, Senior Economist
hantengchua@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Aug 17 (Mon)		
China: retail sales (Jul)	0.4% y/y	1.0% y/y
- industrial production	5.4% y/y	5.3% y/y
- Fixed asset investment	-6.0% y/y	-5.7% y/y
Japan: GDP (2Q)	0.8% saar	1.8% saar
Malaysia: CPI (Jul)	1.9% y/y	1.9% y/y
Singapore: non-oil domestic exports (Jul)	26.5% y/y	20.7% y/y
Thailand: GDP (2Q)	1.9% y/y	2.8% y/y
Aug 19 (Wed)		
Indonesia: BI rate	5.75%	5.75%
Aug 20 (Thu)		
China: 1-year loan prime rate	3.00%	3.00%
Hong Kong: CPI (Jul)	2.0% y/y	2.0% y/y
Malaysia: exports (Jul)	40.0% y/y	45.4% y/y
- imports	40.3% y/y	43.9% y/y
- trade balance	MYR20.3bn	MYR14.9bn
Taiwan: export orders (Jul)	56.6% y/y	59.4% y/y
Japan: exports (Jul)	20.1% y/y	19.3% y/y
- imports	25.7% y/y	25.4% y/y
- trade balance	-JPY719.7bn	-JPY409.9bn
Aug 21 (Fri)		
Japan: CPI (Jul)	2.0% y/y	1.7% y/y

CENTRAL BANK MEETINGS

Bank Indonesia (BI) (19 August)

We expect Bank Indonesia to leave the BI rate at 5.75% in its August meeting. This meeting carries added significance as it will be chaired by acting Governor Destry Damayanti, after Perry Warjiyo resigned last month. President Prabowo has since nominated Deputy Governor Destry as the sole candidate for the position of the next Governor. If confirmed, the appointment will underscore the government's preference for a technocratic and market-oriented leadership transition, placing a seasoned BI official at the helm of the institution. The August rate review will provide a glimpse into the new leader's priorities and communication style.

July inflation had slowed to 2.9% yoy from 3.3% in June, while the 2Q growth was relatively resilient at 5.3%, with domestic drivers in the lead, especially investment, followed by consumption, while net trade was a drag. A firm 2Q growth report and stability in the rupiah makes the case for the BI to maintain its rates this month.

People Bank of China (PBOC) (20 August)

We expect the PBOC to keep the 1Y LPR unchanged next week, as resilient exports and stable industrial activity should continue to support growth momentum. Industrial production is expected to edge up from 5.3% yoy in June to 5.4% in July, supported by firm external demand. Exports stayed strong, rising 23.9% yoy in July, driven by the regional AI-electronics upcycle, while the hi-tech and equipment manufacturing sub-PMIs stayed in expansionary territory.

Domestic momentum, however, remains uneven. Retail sales growth is expected to moderate to 0.4% yoy in July, partly reflecting a high base from earlier trade-in subsidies. Household sentiment is weak amid uncertain job prospects, slower income growth and elevated precautionary savings, while subdued property prices continue to weigh on household wealth and consumption. Investment also stays weak, with fixed asset investment expected to contract further by 6.0% yoy ytd in July. Corporate investment is cautious amid the anti-involution campaign, while the property sector continues to be a major drag. Against this backdrop, policymakers are likely to maintain a measured policy stance, relying on targeted fiscal support to sustain growth rather than further rate cuts.

FORTHCOMING DATA RELEASES

Hong Kong SAR

Headline CPI is expected to remain at 2.0% yoy in July, with elevated energy prices offset by the subdued goods and food prices. Electricity fuel charges and petrol prices increased in July, adding to utilities and transport costs, while housing inflation should edge higher amid a firmer residential rental market. However, subdued durable goods and food prices, alongside a slowdown in mainland tourist arrivals from 10.4% yoy in June to 2.7% in July, should partly offset these upward pressures.

Japan

2Q GDP, July trade, and CPI data are forthcoming. GDP growth is expected to post an on-trend rate of 0.8% QoQ saar, albeit lower than the 1.8% recorded in 1Q. Growth is expected to be largely driven by domestic demand. Consumption indicators appeared to have strengthened in 2Q, supported by decent wage increases and energy subsidies aimed at containing inflation. In contrast, exports in real terms have yet to show a substantial recovery in 2Q.

July trade data are expected to show export value growth picking up further to 20% yoy. CPI inflation, meanwhile, is expected to rise to 2.0% yoy in July from 1.7% in June. These readings would be consistent with the preliminary trade data for the first 20 days of July and the Tokyo CPI data released earlier. Overall, the data will likely strengthen the case for an early rate hike by the Bank of Japan at its September meeting. However, an actual move would still hinge on market dynamics, including USD/JPY movements and the outcome of the September FOMC meeting.

Malaysia

We expect Malaysia's goods exports to expand by a strong 40.0% yoy in July 2026, extending the robust 45.4% yoy growth in June. Exports performance should remain underpinned by strong artificial intelligence demand for electrical & electronics products, alongside resilient oil and gas shipments, supported by energy prices amid evolving tensions in Middle East. We see Malaysia's headline inflation holding at 1.9% yoy in July 2026, stable relative to June. Price pressures should remain in check, as higher fuel inflation and energy cost pass-through were mitigated by fiscal subsidies.

Singapore

We forecast Singapore's non-oil domestic exports to rise by 26.5%yoy in July. The expansion should continue to be led by electronics shipments, supported by robust AI-related demand for memory chips and server-related products. Non-electronics exports may have rebounded due to favourable base effects, although petrochemicals shipments remained weak due to disruptions in the Strait of Hormuz.

Taiwan

July export orders are expected to moderate slightly to 56.6% yoy, from 59.4% in June. Earlier-released export data showed growth decelerating to 32.9% in July, the lowest reading in five months. In real terms, export growth slowed more notably to 13.1%. This reinforces our view that AI-driven super growth has peaked and is transitioning toward more normal growth in 2H. We expect a similar trend to be reflected in export orders.

Thailand

We expect Thailand's real GDP growth to decelerate to 1.9% yoy in 2Q26 from a strong 2.8% yoy in 1Q26. This slowdown reflected softer private consumption and weaker foreign tourist arrivals, due to challenges arising from the conflict in the Middle East. Government spending and robust private investment provided support, alongside strong goods exports expansion driven by global artificial intelligence tailwinds. However, robust goods imports momentum likely resulted in a negative net trade contribution in 2Q26.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.2	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	5.75	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU, South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS

The Week Ahead

Forecasts, data preview, central bank watch

7th August 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- *Singapore's final 2Q26 GDP likely to be revised up.*
- *India's July inflation is likely to hold steady at 4.4% yoy.*
- *China's credit demand is expected to stay weak, with mid- to long-term lending softening.*

Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com

Nathan Chow,
Senior Economist
nathanchow@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Aug 10 (Mon)		
China: new Yuan loan (Jul)	RMB10.8bn	RMB10.7bn
- M2	8.0% y/y	8.0% y/y
Aug 11 (Tue)		
Singapore: GDP (2Q, F)	5.9% y/y	5.7% y/y
Malaysia: industrial production (Jun)	8.0% y/y	8.4% y/y
Aug 12 (Wed)		
India: CPI (Jul)	4.4% y/y	4.4% y/y
- exports	13.5% y/y	15.5% y/y
- imports	9.5% y/y	31.0% y/y
- trade balance	-USD29bn	-USD30.4bn
US: CPI (Jul)	3.4% y/y	3.5% y/y
Aug 14 (Fri)		
Taiwan: GDP (2Q P)	12.9% y/y	12.9% y/y
Malaysia: GDP (2Q, F)	5.8% y/y	5.8% y/y

FORTHCOMING DATA RELEASES

India

Inflation and trade numbers are due in the second week of August. Headline inflation in July was largely steady at 4.4% yoy vs June. High frequency data on food staples point to a rise in pulses, sugar, milk and edible oils, while vegetables have stabilised. A catch-up in rainfall in July has helped boost sowing activity. Adjustments in domestic retail fuel products (non-subsidised LPG was up 10% yoy in Jul) are also likely to reflect in the utilities and fuel segments. Core readings, however, should be benign at sub-4% in July, helped also by moderation in precious metals in the period. Separately, trade numbers should see the resilience in exports outweighed by a higher import bill, keeping the trade balance in red to the tune of -$29bn, close to -$30bn in June.

China

Credit demand remains weak, with new yuan loan expected to stay at RMB10.8bn in July. Both corporate and household medium- to long-term lending likely softened amid cautious borrowing sentiment and continued mortgage prepayments. M2 growth is expected to remain at 8.0% yoy. Precautionary savings stayed elevated, while weak property prices continued to weigh on household wealth. The wide gap between M2 and M1 growth is expected to persist, reflecting subdued corporate investment and household consumption.

Singapore & Malaysia

We expect Singapore's final 2Q26 GDP print to be revised up to 5.9% yoy and 1.3% qoq sa, from the advance estimates of 5.7% yoy and 1.1% qoq sa. The modestly higher growth figures were driven by a firmer manufacturing outturn than initially reported, alongside a possible upward revision to services growth amid stronger expansion in trade-related services, as indicated by the robust pickup in re-exports in June. With 1H26 growth tracking well above trend, we see a high likelihood that the government will upgrade its official 2026 GDP growth forecast to 4.0-5.0% from 2.0-4.0%, even as it continues to flag high uncertainty and downside risks to the outlook.

Separately, Malaysia's final 2Q26 GDP release will confirm an acceleration in growth at 5+% yoy, supported by stronger exports expansion driven by global artificial intelligence-related tailwinds, as well as sustained domestic demand underpinned by resilient household spending and continued investment implementation.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.2	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	5.75	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.